A quality franchise. Is the stock priced for it?

Independent equity research | FY2025 financials + FY2026–27 outlook | 05 Nov 2026

HOLD / WATCHLIST

Capital strength and earnings quality support a premium — but my valuation base case leaves limited upside.

8-slide research summary →

Sources and complete methodology are in the full GitHub research pack.

Three numbers define the setup

FY2025 actuals unless labeled

16.3%

ROE

Profitable franchise

13.5%

CET1 (Q3 FY26)

Capital buffer

0.83%

Impaired loans (FY25)

Credit stress rising

Takeaway: quality does not remove credit-cycle risk.

FY2025 net income grew 25.4%

RBC annual results (C$ billions)

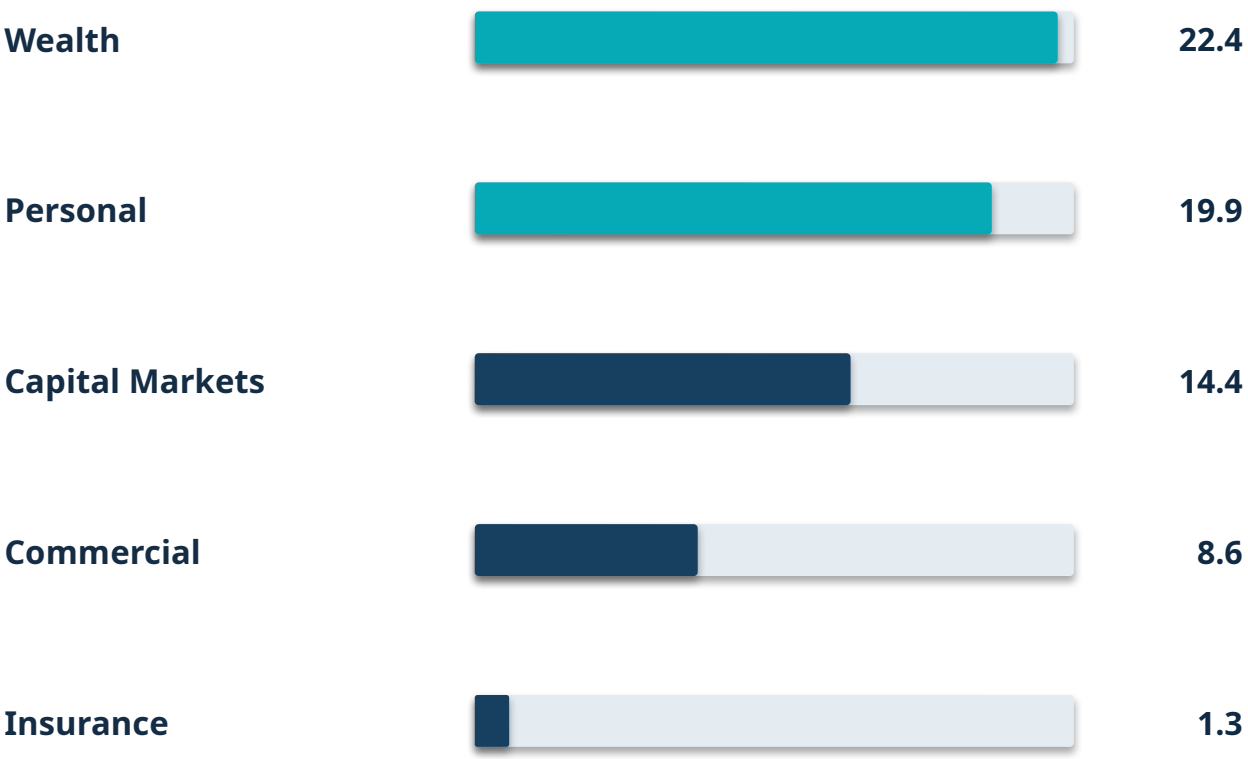


The bridge

+C$9.26B revenue – C$2.34B expense – C$1.13B provisions – C$1.66B taxes = +C$4.13B net income.

Five engines. One consolidated bank.

FY2025 segment revenue; C$ billions



Diversification supports earnings resilience.

Credit quality is the warning sign

FY2025 vs FY2024; RBC annual report

0.83%

FY2025

vs 0.59%

Gross impaired loans / related loans

0.43%

FY2025

vs 0.35%

PCL / average net loans

Strong capital and higher impaired-loan ratios can coexist.

Analysts expect more growth

C$ estimates, not yet reported results

FY2026E revenue	**C$72.42B**	**+8.7%** vs FY2025
FY2027E revenue	**C$76.44B**	**+5.6%** vs FY2026E
FY2026E adj. EPS	**C$16.42**	**+13.8%** vs FY2025
FY2027E adj. EPS	**C$17.91**	**+9.1%** vs FY2026E

Consensus source: Yahoo Finance RY analysis, checked 05 Nov 2026.

The payoff depends on your assumptions

Illustrative 12-month USD scenarios; not analyst price targets

BEAR	$172	-15.6%	C$17.00 EPS · 14× P/E
BASE	$214	+4.9%	C$17.91 EPS · 16.5× P/E
BULL	$261	+28.1%	C$19.00 EPS · 19× P/E

Benchmarked to US$203.76 on Nov 5; uses US$0.723/C$ illustrative FX.

My view: HOLD / WATCHLIST

Independent research, not individualized investment advice

The positive

Strong ROE, capital resilience and multiple engines of growth.

The constraint

The current premium leaves a modest base-case return and real credit downside.

What I will watch

FY2026 results (Dec 3), FY2027 estimates, credit trends and the entry multiple.